

Accounting for Business Combinations

Slide deck 4

Agenda

I. Preface on Business Combinations

II. Consolidation and the Concept of “*control*”

III. The preparation of the consolidated financial statements

A. Separate F/S collection and pre-consolidation adjustments to make them uniform

B. Aggregation of the separate F/S

C. Consolidation adjustments

- 1) Investment write-off, calculation of <<non-controlling interest>> and goodwill
- 2) Depreciation/amortization of plusvalues (minusvalues)
- 3) Elimination of intercompany transactions: receivables/payables/revenues/expenses
- 4) Elimination of intercompany profits on sale of goods
- 5) Elimination of intercompany profits on sale of long-lived assets
- 6) Elimination of intercompany dividends
- 7) Computation of NC net income

D. The completion of the work: the consolidated financial statements

IIIC. Consolidation adjustments

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- ❑ The consolidated financial statement provides the representation of the economic and financial situation of the group as a single entity: a company with many divisions/internal functions (set up by different companies that are included in consolidation area).
- ❑ Transactions that occur between group companies are equivalent, in view of the consolidated financial statement, to transactions between divisions/functions within a company.
- ❑ Such transactions, therefore, since are not transaction with “third parties”, should not even be recognized in the general accounting system.
- ❑ The consolidated financial statement should represent only those operations that group companies have made with third parties outside the group. Those values, which arise from intra-group transactions, must be eliminated.

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IIIC-3. Elimination of intercompany transactions

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- ❑ Trading and financing operations within a group of companies generate payables and receivables, as well as costs and revenues.
- ❑ From the group's perspective, treated as a single entity, these items are not relevant (the group has equal amounts of receivables and payables, and equal costs and revenues). They also artificially inflate the balances.
- ❑ Therefore, these items must be eliminated in the consolidated financial statements.

In particular, the following should be removed:

- a. intra-group revenues and expenses recognized during the financial year;
 - b. Intra-group receivables and payables outstanding at year-end.
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- ❑ Eliminations of intra-group receivables and payables, as well as costs and revenues, are performed at 100%, regardless of the presence of non-controlling interests (i.e., even when the parent does not fully own the subsidiary).

IIIC-3. Elimination of intercompany transactions

- ❑ Intra-group transactions that give rise to **purchase expenses and sales revenues** for the acquiring and selling companies, respectively: all items related to these revenues and expenses are written off.
- ❑ Intra-group financial loans that give rise to **financial income and interest expense** for the financing and borrowing companies, respectively: such interest income and interest expense are written off.
- ❑ These operations do not give rise to deferred tax assets or liabilities.

IIIC-3. Elimination of intercompany transactions

- ❑ Intra-group transactions that are still unsettled at the closing date, and have therefore given rise to trade receivables and liabilities for the selling and acquiring companies, respectively: such trade receivables and liabilities are eliminated.
- ❑ Intra-group financial loans that, at the closing date, are recognized as financial receivables and liabilities by the financing and borrowing companies, respectively: such financial receivables and liabilities are eliminated.
- ❑ These transactions do not give rise to deferred tax assets or liabilities.

IIIC-3. Elimination of intercompany transactions

- ❑ The procedure for eliminating intra-group transactions is based on the assumption that there is consistency between the accounts of each company.
- ❑ This consistency exists if all group companies have correctly recorded such transactions. If, due to errors or incomplete information, this consistency is lacking, intra-group balances must be reconciled to ensure they are properly recognized by all companies.
- ❑ After reconciliation, the elimination can be carried out.

The logical steps to follow in adjusting and eliminating intercompany receivables and payables, as well as revenues and expenses, are as follows:

- 1) identify the amounts of receivables and payables, and revenues and expenses arising from intra-group transactions, recorded in the financial statements of the companies included in the consolidated financial statements;
- 2) ensure there is consistency between the accounts; if not, reconcile the intra-group balances;
- 3) eliminate the corresponding accounts (receivables and payables, revenues and expenses).

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IIIC-4. Elimination of intercompany profits on sale of goods

IIIC-4. Elimination of intercompany profits on sale of goods

- ❑ In the consolidated financial statements, the group's result should reflect only transactions with third parties, not those arising from transactions between group companies.
- ❑ Therefore, any intra-group profits and losses related to assets still held within the group at year-end must be eliminated.
- ❑ This consolidation adjustment aims to remove the effects of intra-group transactions, as if those transactions had never occurred.
- ❑ However, intercompany losses that represent a real decrease in the value of an asset should not be eliminated.
- ❑ The elimination of intra-group transactions gives rise to temporary differences; therefore, deferred tax assets or liabilities arising from these differences must be recognized.
- ❑ Adjustments to eliminate intercompany profits and losses are applied in full (100%).

IIIC-4. Elimination of intercompany profits on sale of goods

The elimination of intercompany profits and losses is achieved by:

- ❑ adjusting the carrying amount of assets involved in intra-group transactions that are still recognized in the acquiring company's balance sheet; the value of these assets must be restated to the amount at which they would have been recognized had the transfer between group companies not occurred;
- ❑ adjusting the income statement items related to those assets that arise from intra-group transactions. The financial results of the companies involved are affected by such transactions, and this effect must be eliminated.

IIIC-4. Elimination of intercompany profits on sale of goods

- ❑ In the case of profits (or losses) included in the value of inventories, intra-group profits (or losses) must be eliminated to the extent that they relate to goods still held in the acquirer's inventory at year-end.
- ❑ The logical steps to be followed for this adjustment are as follows:
 1. calculate the **total intercompany profit (or loss) result**;
 2. calculate the intercompany profit (or loss) not realized with third parties, i.e., the total intercompany result (1) multiplied by the percentage of goods still held in the acquiring company's inventory at year-end;
 3. reduce (or increase) the closing inventory balance by the amount of intercompany profit (or loss) not realized with third parties (2).

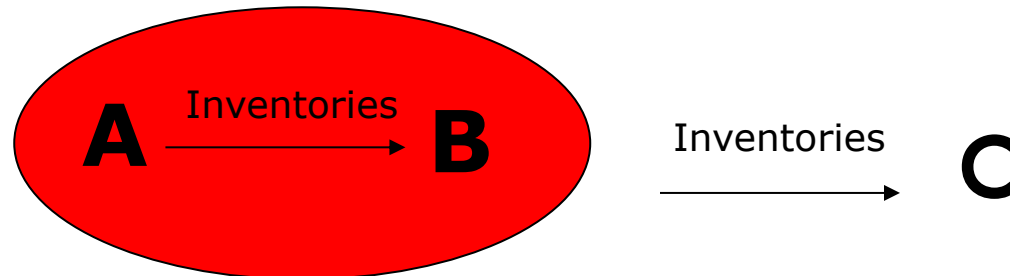
IIIC-4. Elimination of intercompany profits on sale of goods

If inventories are transferred between two companies within the same group, the related unrealized profit must be eliminated. In particular, it is necessary to distinguish between the following cases:

A. all inventories are still held by the acquiring company at year-end;



B. part of the inventories have been sold by the acquiring company to third parties (outside the group) by year-end.



IIIC-4. Elimination of intercompany profits on sale of goods

CASE A

- ❑ During year X, Alfa (the parent company) sells inventories to Beta (a wholly owned subsidiary) for €120.
- ❑ In the same year, Alfa had purchased these inventories from external parties at a cost of €100.
- ❑ At the end of the year, all inventories are still held by the acquiring company.

Prepare the necessary consolidation entries to eliminate the effects of this intra-group transaction.

IIIC-4. Elimination of intercompany profits on sale of goods

	Consolidation entries
	(1)
Income Statement	
Operating revenues	
Operating expenses	
<i>Operating Income</i>	
Financial expenses	
<i>Income before taxes</i>	
Taxes	
<i>Net Income</i>	
Balance Sheet	
<i>Assets</i>	
Property, plant and equipment	
Inventories	
Deferred tax assets	
<i>Total assets</i>	
<i>Equity and liabilities</i>	
<i>Owners' equity</i>	
Common stock	
Net Income	
<i>Liabilities</i>	
<i>Total liabilities and equity</i>	

IIIC-4. Elimination of intercompany profits on sale of goods

- ☐ What happens in the individual financial statements?
- ☐ This transaction is recorded by the two companies as follows:

Alfa:

Cost of goods sold	100
Revenues	120

Beta:

Inventories are recorded at €120.

- ☐ In order to eliminate the effects of this transaction, we need to:
 - a) eliminate the intra-group profit;*
 - b) adjust inventories to the group value (€100);*
 - c) recognize the related deferred tax effects (tax rate: 50%).*

Elimination of intercompany profits and losses included in the value of inventories

	Consolidation entries
	(1)
Income Statement	
Operating revenues	-120
Operating expenses	-100
<i>Operating Income</i>	-20
Financial expenses	
<i>Income before taxes</i>	-20
Taxes	-10
<i>Net Income</i>	-10
Balance Sheet	
<i>Assets</i>	
Property, plant and equipment	
Inventories	-20
Deferred tax assets	10
<i>Total assets</i>	-10
<i>Equity and liabilities</i>	
<i>Owners' equity</i>	
Common stock	
Net Income	-10
<i>Liabilities</i>	
<i>Total liabilities and equity</i>	-10

IIIC-4. Elimination of intercompany profits on sale of goods

CASE B

- ☐ During year X, Alfa (the parent company) sells inventories to Beta (a subsidiary) for €600.
- ☐ In the same year, Alfa had purchased these inventories from external parties at a cost of €350.
- ☐ At the end of the year, 60% of the inventories are still held by the acquiring company.

Prepare the necessary consolidation entries to eliminate the effects of this intra-group transaction.

IIIC-4. Elimination of intercompany profits on sale of goods

	Consolidation entries
	(1)
Income Statement	
Operating revenues	
Operating expenses	
<i>Operating Income</i>	
Financial expenses	
<i>Income before taxes</i>	
Taxes	
<i>Net Income</i>	
Balance Sheet	
<i>Assets</i>	
Property, plant and equipment	
Inventories	
Deferred tax assets	
<i>Total assets</i>	
<i>Equity and liabilities</i>	
<i>Owners' equity</i>	
Common stock	
Net Income	
<i>Liabilities</i>	
<i>Total liabilities and equity</i>	

IIIC-4. Elimination of intercompany profits on sale of goods

*In order to properly adjust the effects of this internal transaction,
we must split the transaction into two parts:*

*A) 60% relating to
inventories still on hand*

*B) 40% relating to inventories sold
to third parties at the end of the
year*

IIIC-4. Elimination of intercompany profits on sale of goods

A) 60% relating to inventories still on hand:

- ☐ The consolidation entries are the same as in the previous case, applied to 60% of the transaction.
- ☐ In this case, the impact on the individual financial statements is as follows:

Alfa:

Cost of goods Sold	210 (350*60%)
Revenues	360 (600*60%)

Beta:

Inventories are recorded at €360 ($600 \times 60\%$).

IIIC-4. Elimination of intercompany profits on sale of goods

A) 60% referring to inventories still on hand:

	Consolidation entries
	(1)
Income Statement	
Operating revenues	-360
Operating expenses	-210
<i>Operating Income</i>	-150
Financial expenses	
<i>Income before taxes</i>	-150
Taxes	-75
<i>Net Income</i>	-75
Balance Sheet	
<i>Assets</i>	
Property, plant and equipment	
Inventories	-150
Deferred tax assets	75
<i>Total assets</i>	-75
<i>Equity and liabilities</i>	
<i>Owners' equity</i>	
Common stock	
Net Income	-75
<i>Liabilities</i>	
<i>Total liabilities and equity</i>	-75

60%

IIIC-4. Elimination of intercompany profits on sale of goods

B) 40% relating to inventories sold to third parties at the end of the year

- ❑ Company Alfa sold 40% of these inventories to external parties. The profit related to this sale must therefore be considered realized.
- ❑ In this case, the impact on the individual financial statements is as follows:

Alfa:

Cost of goods Sold	140 (350*40%)
Revenues	240 (600* 40%)

Beta:

Inventories 0 (240 – 240)

IIIC-4. Elimination of intercompany profits on sale of goods

B) 40% referring to inventories sold at the end of the year

	Consolidation entries	
	(1)	(2)
Income Statement		
Operating revenues	-360	-240
Operating expenses	-210	-240
Operating Income	-150	0
Financial expenses		
Income before taxes	-150	0
Taxes	-75	
Net Income	-75	
Balance Sheet		
Assets		
Property, plant and equipment		
Inventories	-150	
Deferred tax assets	75	
Total assets	-75	
Equity and liabilities		
Owners' equity		
Common stock		
Net Income	-75	
Liabilities		
Total liabilities and equity	-75	

40%

IIIC-4. Elimination of intercompany profits on sale of goods

	Consolidation entries		
	(1)	(2)	
Income Statement			
Operating revenues	-360	-240	-600
Operating expenses	-210	-240	-450
<i>Operating Income</i>	-150	0	-150
Financial expenses			
<i>Income before taxes</i>	-150	0	-150
Taxes	-75		-75
<i>Net Income</i>	-75		-75
Balance Sheet			
<i>Assets</i>			
Property, plant and equipment			
Inventories	-150		-150
Deferred tax assets	75		75
<i>Total assets</i>	-75		-75
<i>Equity and liabilities</i>			
<i>Owners' equity</i>			
Common stock			
Net Income	-75		-75
<i>Liabilities</i>			
<i>Total liabilities and equity</i>	-75		-75

Elimination of intercompany profits and losses included in the value of inventories

- ❑ €450 is the sum of the two consolidation entries (€210 and €240).
- ❑ When company Alfa sells these goods to third parties, it records the following journal entry:

<i>Cost of goods sold</i>	<i>240</i>	
<i>Revenues</i>		<i>XXX</i>

- ❑ From the group's perspective, the revenues (X) are considered realized, as they arise from a transaction with an external party.
- ❑ However, the cost of goods sold for the group is €140 ($350 \times 40\%$).
- ❑ The difference between €450 and €350 (cost of goods sold) is exactly the same as the difference between €240 and €140, i.e., €100.
- ❑ The total impact on operating profit is –€150.

IIIC-4. Elimination of intercompany profits on sale of goods

- ☐ The lower-of-cost-or-market rule requires an asset to be reported in the financial statements at the lower of its historical cost and its market value.
- ☐ If the market value falls below its historical cost, the business unit writes down the value of the asset to its market value.

IIIC-4. Elimination of intercompany profits on sale of goods

- ☐ It is possible that two companies within the same group enter into a transaction that gives rise to an intra-group loss.
- ☐ In this case as well, the intra-group loss must be fully eliminated if it has not been realized with external parties.
- ☐ In any case, International Accounting Standards require that the underlying causes of the loss be examined.
- ☐ If the loss is due to a long-term reduction in the asset's value, the intra-group loss must not be eliminated, as it reflects a real decrease in the asset's value.

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IIIC-5. Elimination of intercompany profits on sale of long-lived assets

IIIC-5. Elimination of intercompany profits on sale of long-lived assets

- ❑ In the case of profits (or losses) included in the value of long-lived assets, the following adjustments are required:
 - ✓ report the transferred assets (still held by the acquiring company at year-end) at the carrying amount they would have had in the absence of the intercompany transaction;
 - ✓ eliminate any gains or losses recognized as a result of the transfer;
 - ✓ adjust depreciation so that it reflects the amounts that would have been recorded in the absence of the transfer.
- ❑ From a consolidated perspective, depreciation must be based on the cost of the asset to the group, i.e., the cost incurred by the company that originally purchased the asset from an external party.
- ❑ Elimination entries are required in the consolidation workpapers to restate the asset, the related accumulated depreciation, and the depreciation expense to the amounts that would have been reported if the intercompany transfer had not occurred.

IIIC-5. Elimination of intercompany profits on sale of long-lived assets

- The logical process to follow for this adjustment is as follows:
 1. identify the accounting effects of the intercompany transaction, with particular reference to gains or losses, transferred assets, and their depreciation; these are reflected in the aggregated financial statements;
 2. determine the values that the affected items (gains or losses, transferred assets, and depreciation) would have had in the absence of the transaction; these are the values that should be reflected in the consolidated financial statements;
 3. based on the differences between (1) and (2), identify the adjustments needed to convert the aggregated financial statements into consolidated financial statements.
- With reference to losses on sales, the carrying amount of the asset must be compared with its value in use.

IIIC-5. Elimination of intercompany profits on sale of long-lived assets

Now let's work with Exercise 11 ...for a bit of practice